UNITED STATES BANKRUPTCY COURT
EASTERN DISTRICT OF LOUISIANA

In re:
CROSBY MARINE TRANSPORTATION, LLC,

Debtors.

CROSBY TUGS, L.L.C., CROSBY DREDGING, LLC, CROSBY MARINE TRANSPORTATION, LLC, AND BERTUCCI CONTRACTING COMPANY, L.L.C.

PLAINTIFFS

VS.
MEGED FUNDING GROUP A/K/A MEGED FUNDING GROUP CORP
ALLIANCE ENERGY SERVICES, LLC
ARENA OFFSHORE
CANTRELLE SERVICES LLC
CANTIUM LLC
CAJUN INDUSTRIES LLC
CHAMPAGNE ENERGY & ENVIRONMENTAL SOLUTIONS
CHEVRON PRODUCTION CO.
CURTIN MARITIME
ECOSERV, LLC
ECOSERV ENVIRONMENTAL SERVICES, LLC
GAC NORTH AMERICA
INGRAM MARINE GROUP
JOHN W STONE OIL DISTRIBUTOR LLC
KENOSIS OPERATING COMPANY
KEVIN GROS CONSULTING
LOOP LLC
LUHR CROSBY LLC
MODERN AMERICAN RECYCLING
MARSHLAND EQUIPMENT RENTALS
MCDONOUGH MARINE SERVICE
MORRISON OFFSHORE LLC
PATRIOT MARINE SERVICES
PORT OF IBERIA DISTRICT BOARD OF COMMISSIONERS
ROSE CAY MARITIME LLC
SABINE NECHES NAVIGATION DISTRICT
SPACE EXPLORATION TECHNOLOGIES
TALA ENVIRONMENTAL LLC
THOM-SEA BOAT BUILDERS

Case No. 26-10678
Chapter 11
Complex Case
Section A
Adv. Proc. No. 26-1018

TK TOWING INC.
TPC GROUP LLC
TRITON DIVING SERVICES LLC
T&T MARINE SALVAGE INC.
VENTURE GLOBAL CALCASIEU PASS LLC
WALTER OIL & GAS
WHITE FLEET DRILLING
HEEREMA MARINE CONTRACTORS
NEDERLAND, S.E.
AQUA CAPITAL LLC
BREEZE FUNDING
CELTIC ADVANCE
EN OD CAPITAL
ALO ADVANCE
CEDAR ADVANCE LLC
CLEARFUND SOLUTIONS, LLC
COLDWATER CAPITAL, LLC
COOPER INVESTMENTS, LLC
DEPENDENCE PLATINUM
FOREVER FUNDING LLC
FREEDOM FUNDING LLC
GALT FUNDING CO
INSIGHT CAPITAL LLC
LIBERTAS FUNDING, LLC
MOBY CAPITAL, LLC D/B/A MOBYCAP
MYNT GOLD, LLC A/K/A MYNT ADVANCE
NOVAC EQUITIES LLC
ODK CAPITAL, LLC D/B/A ON DECK
ORACAP LLC
OVERTIME CAPITAL
PARKVIEW ADVANCE LLC
PINNACLE BUSINESS FUNDING LLC
RELIANCE FINANCIAL FL, LLC
ROCKET CAPITAL NY, LLC
SQ ADVANCE
SURGE FUNDING LLC
TRUE BUSINESS FUNDING LLC
WEB BANK C/O LIBERTAS FUNDING, LLC
WYNWOOD CAPITAL GROUP, LLC
DEFENDANTS

MEMORANDUM IN SUPPORT OF MOTION FOR SUMMARY JUDGMENT

Defendants Meged Funding Group Corp. ("Meged"), Dependance Platinum FL, LLC ("Dependance"), and Reliance Financial FL, LLC ("Reliance") (collectively, "Defendants") respectfully submit this memorandum in support of their Motion for Summary Judgment. For the

reasons explained below, the Court should enter summary judgment dismissing the Plaintiffs' Adversary Complaint (Dkt. 1) and the claims against Defendants with prejudice, at Plaintiffs' sole cost.

I. FACTUAL AND PROCEDURAL BACKGROUND

Defendants are in the business of purchasing accounts receivable from businesses. Between April and December of 2025, each of the Defendants engaged in separate transactions with Plaintiffs whereby they purchased certain accounts receivable from them.[1] Plaintiffs later defaulted on their obligations under those agreements, and Defendants took steps to enforce their rights under the agreements.

Plaintiffs filed chapter 11 bankruptcy in March 2026. In this Adversary Proceeding, Plaintiffs/Debtors seek to recharacterize their sales of accounts receivable as loans. As explained in detail below, no material fact dispute exists that the Defendants' transactions with Debtors are "true sales," and, as a matter of law, no basis exists to recharacterize those sales as loans.

A. Meged Purchases Accounts Receivable from Debtors

On April 22, 2025, Meged and Debtor Crosby Dredging, LLC ("Crosby Dredging") entered into a Standard Merchant Cash Advance Agreement (the "First MCAA"), whereby Meged purchased $16,002,000.00 in receivables (the "First Contract Receivables") from Crosby Dredging for a purchase price of $12,600,000.00. A copy of the First MCAA is attached as Exhibit 1.

On April 22, 2025, Meged and Crosby Dredging entered into another Standard Merchant Cash Advance Agreement (the "Second MCAA"), whereby Meged purchased $5,700,000.00 in receivables (the "Second Contract Receivables") from Crosby Dredging for a purchase price of $3,800,000.00. A copy of the Second MCAA is attached as Exhibit 2.

On May 12, 2025, Meged and Crosby Dredging entered into a third Standard Merchant Cash Advance Agreement (the "Third MCAA," and together with the First MCAA and the Second MCAA, the "Meged Agreements"), whereby Meged purchased $1,124,250.00 in receivables (the "Third Contract Receivables," and together with the First Contract Receivables and the Second

[1] Exs. 1-5.

Contract Receivables, the "Meged Purchased Receivables") from Crosby Dredging for a purchase price of $750,000.00. A copy of the Third MCAA is attached as Exhibit 3.

The operative provisions of the three Meged Agreements are substantially similar to each other, with certain differences specific to each transaction such as the dollar amount of receivables purchased, the purchase price, and the estimated amounts to be remitted to Meged on account of the purchased receivables. *See generally* Exs. 1-3.

As a prophylactic measure, the Meged Agreements grant Meged a lien on Debtors' accounts and proceeds. Exs. 1-3 at ¶ 29. In June 2025, Meged filed UCC-1 financing statements to perfect its protective security interest in the Meged Purchased Receivables, which are attached as Exhibit 6. The Meged Purchased Receivables were supposed to be unencumbered, and Meged was supposed to have a first priority lien and right to payment on them. Exs. 1-3 at ¶ 29 ("Each Merchant agrees to execute any documents or take any action in connection with this Agreement as [Meged] deems necessary to perfect or maintain [Meged's] first priority security interest in the Collateral and the Cross-Collateral, including the execution of any account control agreements.").

B. **Dependance Purchases Future Receipts from Debtors**

On May 27, 2025, Dependance and Crosby Dredging, Crosby Tugs, and Crosby Enterprises entered into a Sale of Future Receipts Agreement (the "Dependance Agreement"), whereby Dependance purchased $2,070,000.00 in future receipts from sellers for a purchase price of $1,500,000.00 (the "Dependance Purchased Receivables"). A copy of the Dependance Agreement is attached as Exhibit 4.

As a prophylactic measure, the Dependance Agreement provides that, to the extent the Dependance Purchased Receivables include "accounts" or "payment intangibles" as those terms are defined by the UCC in the state where Debtors are located,[2] "then (i) the sale of such accounts or payment intangibles creates a security interest as defined in the UCC, (ii) this Agreement constitutes a

[2]Debtors are located in Louisiana per their filed schedules. Under the Dependance Agreement, "Future Receipts" is defined to include (among other things) "accounts and payment intangibles." Ex. 4 at p. 1 ("Purchase Information" box). Debtors' receivables fall within the definitions of those terms in the Louisiana UCC. La. Rev. Stat. § 10:9-109(a)(3) (applying this Chapter to sales of accounts and payment intangibles); *id.* at § 10:9-102(a)(2), (61) (definitions of "account" and "payment intangible," respectively).

security agreement under the UCC, and (iii) Buyer has all the rights of a secured party under the UCC with respect to such accounts or payment intangibles." Ex. 4 at ¶ 14(a). In June 2025, Dependance filed UCC-1 financing statements to perfect its protective security interest in the Dependance Purchased Receivables, which are attached as Exhibit 7.

C. Reliance Purchases Future Receipts Receivable from Debtors

On December 9, 2025, Reliance and Crosby Dredging, Crosby Tugs, and Crosby Enterprises entered into a Sale of Future Receipts Agreement (the "Reliance Agreement"), whereby Reliance purchased $749,500.00 in future receipts from sellers for a purchase price of $500,000.00 (the "Reliance Purchased Receivables," and together with the Meged Purchased Receivables and the Dependance Purchased Receivables, the "Purchased Receivables."). A copy of the Reliance Agreement is attached as Exhibit 5.

The Dependance and Reliance Agreements are substantially similar to each other, with certain differences specific to each transaction such as the dollar amount of receivables purchased, the purchase price, and the estimated amounts to be remitted to them on account of the purchased receivables. *See generally* Exs. 4-5.

II. ARGUMENT AND AUTHORITIES

A. Summary Judgment Standard

Federal Rule of Civil Procedure 56, made applicable by Federal Rule of Bankruptcy Procedure 7056, requires entry of summary judgment if the record shows "there is no genuine issue as to any material fact and the movant is entitled to judgment as a matter of law." This standard is satisfied if the record, as a whole, "could not lead a rational trier of fact to find for the non-moving party." *Matsushita Elec. Indus. Co. v. Zenith Radio*, 475 U.S. 574, 586 (1986).

Summary judgment is thus mandated "against a party who fails to make a showing sufficient to establish the existence of an element essential to that party's case, and on which that party will bear the burden of proof at trial." *Celotex Corp. v. Catrett*, 477 U.S. 317, 322 (1986).

Summary judgment is warranted here because Plaintiffs have the burden to establish grounds to recharacterize Defendants' purchases of accounts receivable as loans, and the evidence does not

create a material fact dispute that any grounds for recharacterization exists. As such, the Purchased Receivables are not property of the Debtors' estates.

B. Accounts Receivable Sold by a Debtor Prepetition Are Not Estate Property

Plaintiffs' claims against Defendants turn on whether Defendants' purchases of accounts receivables from Debtors are "true sales" (as Defendants maintain), or disguised loans (as Plaintiffs contend). Here, no material fact dispute exists that the transactions are anything other than "true sales" as a matter of law.

State law determines whether a debtor has a right or interest in specific property. *Butner v. United States*, 440 U.S. 48, 54 (1979); *In re R&J Pizza Corp.*, No. 14-43066, 2014 WL 12973408 (Bank. E.D.N.Y. Oct. 13, 2014) (citing *Butner*, *supra*). The Meged Agreements are governed by New York law. Exs. 1-3 at ¶ 34. The Dependance and Reliance Agreements are governed by Florida law. Exs. 4-5 at ¶ 20(a).

Accounts receivables sold by a debtor prepetition are not estate property. *See, e.g.*, *Dryden Advisory Grp., LLC v. Beneficial Mut. Sav. Bank (In re Dryden Advisory Grp., LLC)*, 534 B.R. 612, 626-27 (Bankr. M.D. Pa. 2015) (accounts receivable sold pre-petition do not constitute estate property); *see also In re Doctor's Hosp. of Hyde Park. Inc.*, 507 B.R. 558 (Bankr. N.D. Ill. 2013) (describing "true sale" determination as a question of state law and observing that if transfer is a true sale, the assets should not be considered assets of the bankruptcy estate).

C. Law Applicable to Recharacterization of a Sale as a Loan

1. *The Eight-Factor Recharacterization Test*

R&J Pizza, *supra*, involved a receivables purchase agreement which, like the Meged Agreements,[3] is governed by New York law. *R&J Pizza* is one of the leading cases on recharacterization under New York law. As that court explained,

> [] The Uniform Commercial Code does not provide rules for distinguishing between sales transactions and security transactions. *See* NY UCC § 9-318, Official Comment 2. The determination of whether the Purchase Agreements constitutes a sale or a secured transaction is accordingly left to the Courts. *See*

[3] Exs. 1-3 at ¶ 34.

> *New Jersey Tractor Trailer Training, Inc.*, 2007 WL 2892956,*5 (Bankr. D.N.J. 2007).
>
> [] However, courts have developed a series of factors to be employed in determining whether assets transfers are "true sales" or transfers of collateral in connection with secured financing. *Id.*, at *7 (citing Aicher & Fellerhoff, *Characterization of a Transfer of Receivables as a Sale or a Secured Loan Upon Bankruptcy of the Transferor*, 65 Ann. Bankr.L.J. 181 (1991)). The factors identified by various courts to find that a sale of receivables is in reality a loan are:

(1) Language of the documents and conduct of the parties;

(2) Recourse to the seller;

(3) Seller's retention of servicing and commingling of proceeds;

(4) Purchaser's failure to investigate the credit of the account debtor;

(5) Seller's right to excess collections;

(6) Purchaser's right to alter pricing terms;

(7) Seller's retention of right to alter or compromise unilaterally the terms of the transferred assets; and

(8) Seller's retention of right to repurchase assets.

As Plaintiffs seeking to recharacterize the agreements between themselves and Defendants as "disguised loans" rather than "true sales," it is Debtors' burden to establish that those agreements are loans rather than true sales.

III. **CONCLUSION**

As a matter of law, Plaintiffs cannot carry their burden to show that the purchase and sale transactions between Debtors, on the one hand, and Meged, Dependance, and Reliance, on the other, should be recharacterized from sales to loans. The relevant factors, almost all of which are discernable from the face of the agreements, overwhelmingly disfavor recharacterization. Because the prepetition transactions between Defendants and Debtors are "true sales," they cannot and should not be recharacterized as loans. It follows that the Purchased Accounts are not estate property. Summary judgment in favor of these Defendants should be granted dismissing Plaintiffs' Adversary Complaint with prejudice.

Dated: May 15, 2026

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on May 15, 2026, I electronically filed the foregoing with the Court by using the Court's CM/ECF system thereby serving all registered users in this matter.

/s/ Andrew D. Mendez